

PRIVATE EQUITY

THE OPERATIONAL DUE-DILIGENCE AND FIRST-100-DAYS CHECKLIST

What the CIM will not tell you, and what to do the day the deal closes.

This checklist shows how we walk through operational diligence and the first 100 days with private equity partners. Part one is what to pressure-test before close. Part two is what to stand up the day the deal is finalized. The value is not in the boxes you check. It is in the items you cannot confidently check.

One note before you start: this surfaces what we look for. It is not a substitute for putting an operator on the floor of the target.

Part 1 · Before Close

01 The Deal Thesis Test

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- ☐ 1 The deal thesis is clearly understood by all parties, and every workstream traces back to it.
- ☐ 2 Diligence is customized to test the deal thesis, not only to validate the numbers.
- ☐ 3 You are looking for post-close opportunity, not just pre-close risk.
- ☐ 4 Operational diligence is a critical part of the process, not an afterthought.

02 The Floor, Not the Deck

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- ☐ 5 Someone with operating experience, preferably in a similar industry, has walked the target's floor.
- ☐ 6 The data was reviewed before the site visit, so executive meetings ask verifying questions, not information-gathering questions.
- ☐ 7 The target's operational metrics are benchmarked against industry standards.
- ☐ 8 You know the operational ceiling: what the business could do, and what it would take to get there.

03 Red Flags and Cash Traps

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- ☐ 9 The go-forward overhead structure is modeled independently, not taken from management's version.
- ☐ 10 Carve-out dependencies (shared facilities, IT, people) are mapped and priced.
- ☐ 11 Hidden value drivers are quantified alongside the risks.
- ☐ 12 Working capital cash traps are identified: receivables, payables, and slow-moving inventory.

04 Understanding People

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- ☐ 13 The leadership team is capable of leading the required operational change.
- ☐ 14 You know which leaders are critical to the business, and where replacements or additional support are needed.
- ☐ 15 The management structure fits the company's size and growth plans.
- ☐ 16 Capable successors exist for key leadership positions.

05 Parallel, Not Series

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- ☐ 17 The 100-day plan is being built during diligence, not after close.
- ☐ 18 Buyer and seller leadership have jointly identified the critical few strategic initiatives.
- ☐ 19 Every initiative has an owner, a KPI, and a number for what it delivers this year.
- ☐ 20 The plan is ready to deploy the day the deal is finalized.

— Part 2 · The First 100 Days

06 Alignment Before Action

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- ☐ 21 Strategy is cascaded to the point of impact, so the floor knows what the business needs from them.
- ☐ 22 Nobody is running the “do no harm” soft approach. Conflict avoidance costs more than it saves.
- ☐ 23 Every KPI is operationalized, not just defined.

07 The Operating System

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- ☐ 24 A daily management rhythm exists: tiered reviews, a KPI tree, leader standard work.
- ☐ 25 Leading metrics (flow, yield, takt, on-time delivery) sit alongside the lagging ones (revenue, EBITDA).
- ☐ 26 The metrics on the floor map to EBITDA: throughput, margin per hour, quality yield, delivery performance.
- ☐ 27 Constraints were identified by going to the floor, not from dashboards.

08 Value With a Clock on It

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- ☐ 28 The first wins are sequenced for the hold period, not for a someday roadmap.
- ☐ 29 You took 80 percent of the savings today instead of waiting six months for 100 percent.
- ☐ 30 Capability transfer is planned, so the value survives to exit.

WHAT DILIGENCE SHOULD CATCH

A private equity partner retained CBS for operational due diligence on a commercial glass processor being carved out of a larger conglomerate. CBS modeled the stand-alone cost structure independently and identified \$3.4 million in one-time and recurring costs the seller had not presented, which was used in the final price negotiation. The same review of operational performance surfaced \$2.8 million in annualized savings, roughly 3 percent of sales.

“CBS’s ability to field a team of experts in short order and analyze the opportunity is amazing.”

MANAGING PARTNER, PRIVATE EQUITY FIRM

Bring one portfolio company.

Set up a call with one of our consultants. Bring a portfolio company or a target, and you will get a straight read on its operational ceiling and what we would do in the first 100 days. Straight answers.

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